

# SEBI/HO/MIRSD/DOP/CIR/P/2026/07

Master Circular for Stock Brokers — Systems, Controls and Investor Protection (Demo Edition)

Issued: May 1, 2026

## Securities and Exchange Board of India

**Circular No: SEBI/HO/MIRSD/DOP/CIR/P/2026/07 Date: May 1, 2026 To: All Registered Stock Brokers Subject: Consolidated obligations relating to compliance officers, cyber resilience, system audits, client fund segregation, net worth reporting, investor grievance redressal, KYC, and algorithmic trading controls**

This circular consolidates and reiterates the following ten obligations applicable to all registered stockbrokers, with immediate effect unless otherwise specified. Each numbered clause below states exactly one obligation.

1. Every stockbroker shall appoint a designated Compliance Officer ratified by the board, on or before May 31, 2026, evidenced by a board resolution appointing the Compliance Officer.
2. Every stockbroker shall implement a board-approved Cyber Security and Cyber Resilience Policy, on or before June 15, 2026, evidenced by the board-approved Cyber Security and Cyber Resilience Policy document.
3. Every stockbroker shall complete a system audit of its trading systems through an exchange-empanelled auditor, on or before June 20, 2026, evidenced by the system audit report from the empanelled auditor.
4. Every stockbroker shall obtain a bank segregation certificate confirming client funds are held in an account separate from proprietary funds, on or before June 25, 2026, evidenced by the bank segregation certificate.
5. Every stockbroker shall publish a documented investor grievance redressal framework integrated with SEBI's SCORES platform, on or before June 30, 2026, evidenced by the grievance redressal policy document.
6. Every stockbroker offering algorithmic trading shall submit a log of exchange approvals for all live algo strategies, on or before July 1, 2026, evidenced by the exchange approval log.
7. Every stockbroker shall submit a net worth certificate certified by a practising Chartered Accountant, on or before August 31, 2026, evidenced by the net worth certificate.
8. Every stockbroker shall submit a half-yearly financial statement to the exchange, on or before September 15, 2026, evidenced by the half-yearly financial statement filing.
9. Every stockbroker shall complete re-verification of client KYC records older than three years, on or before August 10, 2026, evidenced by the KYC re-verification report.
10. Every stockbroker offering algorithmic trading shall submit a periodic testing report for each approved algo strategy, on or before July 20, 2026, evidenced by the algo strategy testing report.

This circular is issued under the powers conferred by Section 11(1) of the SEBI Act, 1992, read with the Securities Contracts (Regulation) Act, 1956.

**By Order Securities and Exchange Board of India**